

If this suggestion is accepted, it would mean that when considering bonds of a railroad spending less than 32% of its gross on maintenance the investor will either: (1) make such further study as will convince him that the lower rate is adequate or (2) adjust the reported earnings to a hypothetical 32% ratio, thus reducing the earnings coverage correspondingly. If the coverage is satisfactory after this correction, it may be assumed that the possible undermaintenance is not in itself a serious enough factor to impair the safety of the bond.

Nonrecurring Dividend Receipts. A second item which sometimes repays scrutiny is that of Dividends Received. When a railroad controls subsidiary companies, it is possible to draw out accumulated profits at irregular intervals in the form of special dividends paid to the parent company. The effect of such transactions is to overstate the actual earning power of the parent company for the year in which the subsidiary's special dividend was received.⁷

Excessive Maintenance and Undistributed Earnings of Subsidiaries. Railroad reports will also disclose the opposite situation at times, *viz.*, excessive maintenance expenditures or the existence of large current earnings of subsidiaries not paid over to the parent company. The effect of such accounting is to understate the true earning power of the carrier examined. Matters of this kind are of considerable interest in the analysis of stock values, but the bond buyer's concern with such factors is of secondary character. In general he should not permit them to reverse an otherwise unfavorable verdict as to the safety of the bond, but he should recognize that their presence gives added attractiveness to bond issues which show adequate security without taking them into account.⁸

Analysis of Low-Priced Railroad Bonds. A study of speculatively priced railroad bonds will properly include consideration of many factors in addition to those just discussed. Under our broad principles of arrangement, consideration of this subject should be deferred to our later chapter on speculative senior securities. It seems preferable to deal with it here,

⁷ This and allied phases of accounting having to do with income of a nonrecurring character are considered in detail in Chaps. 31 to 33 (see especially Chap. 31, "Nonrecurrent Items: Profits or Losses from Sale of Fixed Assets," where several examples are given).

⁸ See Appendix Note 24.